

cover expenses that do not occur at regular intervals or expenses that just crop-up time and again.

Whatever the reason and whatever your current state, let us start from scratch. I will take you through this journey step by step. I cannot emphasize how important it is that you should not move to the next step till you are comfortable with the first step and have worked out your own numbers and calculations for the first step.

Role of Expense Calculation in Financial Freedom

The idea of establishing your cash flow is to fundamentally understand your current standard of living. The purpose is also to prepare this data as a feed for your Financial Freedom Plan. Your Financial Freedom corpus should be big enough to take care of your standard of living (or Expenses) for the rest of your life, after adjusting for inflation.

Establish Cash Outflow

This process of tracking your cash outflow is extremely interesting and eye opening. It will make you think about your money. Who cares more about your money than you? It is time to face the truth and do so honestly. This is essential. This is the foundation step to your entire financial dream.

Go through all your cheque books, account statements, ATM statements, credit card bills and anything else that tells you how you spent your money over the last 2 years. It will take sometime to do this, but will reward you with time and money in the future. It is the end result or the goal that must drive your actions today. You should look at the amount over the last 2 years so that you arrive at a more realistic cash outflow statement. You work 40 hours a week or more to earn money. I am asking you to take a few hours to bring your money out of the darkness into the light of reality. Do not just read this and move ahead. Pick up a pen and paper and take action.

Do you remember the example earlier in the book where a person cutting trees did not have the time to sharpen his saw? I just hope you do not continue to be so busy in the process of earning money that you do not have